transition of financial assets, a will is preferred even if one has nominees mentioned. Then there are certain financial instruments in which nomination works clearly, especially in the case of life insurance, where the concept of beneficial nominee comes into play (see *Beneficial Nominee*).

As mentioned earlier, the process of nomination itself isn't as straightforward as it appears to be because different financial instruments have different ways to register and treat nomination. Take the basic bank account where a nomination is mandatory and straightforward, so that the nominee receives the balance from the bank account on the death of the account holder. However, when it comes to a joint account, there can only be one nominee and this nominee can have access to the bank account balance only in case of death of all the joint account holders. So, in a joint account of a couple, where a child is made the nominee, the demise of one parent doesn't mean that the account proceeds automatically go to the nominee.

In mutual fund investments, although a nomination facility exists, there is a limit to the number of nominees one can appoint in one mutual fund investment folio. There is a provision to specify the percentage of holdings that can go to each nominee in case of the investor's demise. However, if a mutual fund investment is held by more than a single investor, all of them would be required to make a person the nominee for the investment. "My parents had each other as nominees in some investments, which is making it difficult to access their investments in the absence of a will," explains Bhasin.

For the surviving family members, it is a big challenge to not just cope with the loss of a dear one; often the long road to accessing finances meant for them becomes difficult to access or comes in late. At a time when several financial transactions and dealings are electronic and digitally stored, some of the nomination issues can be resolved by updating nomination at a single place and it being reflected across all other linked products. But not all financial institutions or products are available digitally and not everyone accesses their financial savings and investments digitally.

A WILL SUPERSEDES NOMINATIONS, MAKING IT A PREFERRED WAY TO TRANSFER WEALTH RATHER THAN LEAVE IT TO CHANCE

Things get further complicated if there are immovable assets in different parts of the country. It is estimated that, on an average, it takes a few months to obtain a probate in uncontested wills, probate being the copy of a will certified under the seal of a court of competent jurisdiction with a grant of administration of the estate of the testator (on whose name the will is made). A lot of time and money is lost, which can impact the successors or beneficiaries of the asset owner.

If you include the elderly who are unable to decide on their own, with reduced decision-making abilities or difficulty to write and communicate; the complications are further compounded. While a will is a good legal document to facilitate easy transfer of assets from owner to beneficiaries, it could also face challenges. So, it is in your interest to have a will in place when you are of sound mind and able to take a clear decision on how you wish your assets to be distributed after your demise.

"I wish my parents had shared their financial holdings to help us know what they owned and how we could use it after them," rues Bhasin, as she tries to manage the painful and difficult process of finding about her parents' assets. If you do not wish your loved ones to face the challenges faced by Bhasin, check your financial assets and how you wish they are passed on to your dependants and take necessary action. ■

– Narayan Krishnamurthy

BENEFICIAL NOMINEES

An amendment to the Insurance Act in 2015 introduced the concept of Beneficial Nominees. The concept of beneficial nominee came into existence to check any fraudulent use of life insurance, where a nominee could be from outside the immediate family. As life insurance is taken to protect the financial interests of the family, a policy in which the proceeds are for non-family members does open up a can of worms. Technically, a nominee is just the receiver of the money; he has to eventually hand over the monies to the legal heirs and he himself cannot consume the money unless he is the legal heir.

With the amendment, a policyholder's spouse, children or parents, individually or in combination, as mentioned in the nomination form, are the beneficial nominees. This means that a policyholder cannot have nominees outside this set. In this manner, an individual can leave clear instructions on who would eventually receive the policy proceeds and in what proportion. The scope for dispute in life insurance payout is significantly avoided. So, the beneficial nominee is the end consumer of the money received under the insurance policy claim. Therefore, if you have made someone a beneficial nominee during the issuance of policy, then in such case that person (beneficial nominee) has the right to use the policy proceeds from the claim.